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## ANTECEDENTS OF EMPLOYEE ENGAGEMENT: AN EMPIRICAL STUDY

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### ABSTRACT

Employee Engagement defined simply as “one step up from commitment”. Employee engagement has received a great deal of attention in the last decade in the popular business press and among consulting firms and the practitioner community. The main aim of the article is to study the antecedents of employee engagement. Convenience samples of 428 respondents were taken. For data analysis Mean, Reliability analysis and Correlation analysis were employed. The study revealed Job satisfaction, Psychological climate, Intrinsic rewards, Leader-Member relationship, Motivation and Employer Brand are the antecedents for employee engagement.

**Key Words:** Employee Engagement, Convenience sample, Reliability analysis, Correlation analysis.

### INTRODUCTION

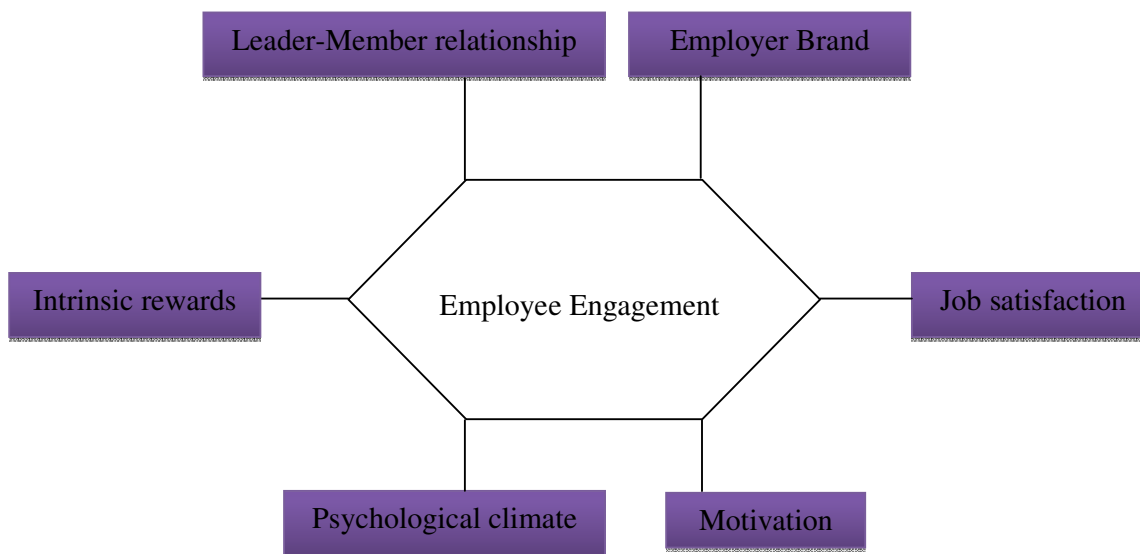
William Kahn provided the first formal definition of employee engagement, as such: "the harnessing of organization members' selves to their work roles; in engagement, people employ and express themselves physically, cognitively, and emotionally during role performances" Kahn (1990). An organization with 'high' employee engagement might therefore be expected to outperform those with 'low' employee engagement, all else being equal. Rationally, engaged employees are perceived as more reliable; they are aware of business context, work cooperatively with coworkers for the benefit of organization, and take on responsibility for completing tasks, understand how their unit contributes to organizational success, and understand how they contribute individually to company goals, objectives, and direction (Baumruk, 2004; Gibbons, 2006; Miles, 2001; Robinson, Perryman, & Hayday, 2004). Levinson (2007a) suggests that organizational cultures in which there is a collaborative leadership style (i.e. everyone is a stakeholder and can participate in all aspects of the

business) drives engagement. Macey and Schneider (2008a) suggest that the nature of an organization's leadership and management can have an indirect impact on engagement behaviors demonstrated by employees, through leaders building trust in their staff. The positive correlation between employer brand and employee engagement has been recognized by different academic studies. In 2007 Brain Heger conducted an empirical study by using data from 614 respondents, to identify the relationship between strong Employment Value Proposition (EVP), the core component of employer brand, and respondents' level of engagement. The study recognized that employee engagement is largely influenced by an organization's EVP, in that EVP attributes (elements appealing to employees) serve to motivate a firm's workforce (Heger, 2007). The survey by Corporate Leadership Council also found that employees who perceive their organizations' EVP to be less competitive than that of other organizations are likely to disengage from their organizations by either reducing contribution or leaving the organization (Corporate Leadership Council, 2006). Another empirical study of 113 companies across industry has recognized that in companies with developed employer brand, employees are more actively engaged in decision-making and management process (Kuchеров & Zavyalova, 2011). Intrinsic rewards refer to positively valued work outcomes that an employee receives directly as a result of performing of his/her role; they are inherent, not given by external sources like company or other people (Kalleberg, 1977; Schermerhorn et al., 2004). Melcrum (2007) also cites the importance of compensation, benefits and formal recognition in instilling employee engagement. In 2005, IES (Robinson et al.) reported that job satisfaction, feeling valued and involved and equality of opportunity are the three strongest drivers of engagement. Watson Wyatt (2007) found that having clear expectations and delivering promised rewards is key to engaging the workforce. Psychological climate is a multidimensional construct (James & James, 1989; Koys & DeCotiis, 1991). James and James (1989) proposed a hierarchical model of psychological climate consisting of four second-order factors: (1) role stress and lack of harmony, (2) job challenge and autonomy, (3) leadership facilitation and support, and (4) work group cooperation, friendliness, and warmth. Thus, psychological climate can be considered a surface indicator of culture (Schein, 1985). Over the last 20 years, the definition of psychological climate become standard, and many scholars have researched various frameworks for psychological climate dimensions (e.g., Brown & Leigh, 1996; James & James, 1989; Koys & DeCotiis, 1991). Workplace culture may be key to setting the tone for engagement (Lockwood, 2007; Glen, 2006). Glen (2006) suggests that the work environment may play a key role in predicting engagement along with organizational processes, role challenge, values, work-life balance, information, Reward/recognition, management and product service.

According to the Society for Human Resource Management (SHRM) 2012 Employee Job Satisfaction and Engagement Survey, 81% of U.S. employees reported overall satisfaction with their current job. But despite these high satisfaction levels, the same survey revealed that employees were only moderately engaged (3.6) on a scale of 1 to 5, where 1 is highly disengaged, 3 is moderately engaged and 5 is highly engaged.

## **THEORETICAL FRAMEWORK**

For this study the following theoretical Framework was formulated after reviewing the literature. Independent variables are Leader-Member relationship, Employer Brand, Job satisfaction, intrinsic rewards, Psychological climate, Motivation and Dependent variable is Employee Engagement.



Source: Author Research

### Research Hypotheses

Based on the theoretical Framework the following research hypotheses were formulated

- H1: There is a significant relation between Employee Engagement and Job satisfaction
- H2: There is a significant relation between Employee Engagement and Intrinsic rewards
- H3: There is a significant relation between Employee Engagement and Psychological climate
- H4: There is a significant relation between Employee Engagement and Motivation
- H5: There is a significant relation between Employee Engagement and Leader-Member relationship
- H6: There is a significant relation between Employee Engagement and Employer Brand

### OBJECTIVES OF THE STUDY

Following are the major objectives of the study

- ❖ To know the importance of Employee Engagement in recent world
- ❖ To determine the influencing factors of Employee Engagement.

### METHODOLOGY OF STUDY

For this study the following methodology was applied

- ❖ Sampling Method : Convenience
- ❖ Sample Size : 428
- ❖ Sampling Error : Response–428, Non-response - 08
- ❖ Primary Data : Questionnaire.
- ❖ Secondary Data : Journals, Magazines, Books, Websites.
- ❖ Data analysis : Percentages, Reliability analysis, Pearson's correlation.

## **DATA ANALYSIS**

### **Demographics**

Demographics of the respondents for this study are as follows. Gender: Males=276, Females=152: Education: Up to Inter/Diploma=43, UG=174, PG and above=211: Age 30 and below=147, 31-40years=192, 41 and above=89: Income Levels: Below 200000=122, 200001-300000=196, 300001 and above =110: Marital Status: Married= 243, unmarried=185.

### **Reliability**

Reliability test was administered to establish the goodness of data. In statistics, reliability is the consistency of a set of measurements. For this study Cranach's Alpha coefficient was calculated.

**Table: Reliability**

| S.NO | Dimension                  | Cron Bach's Alpha |
|------|----------------------------|-------------------|
| 1    | Employee Engagement        | .812              |
| 2    | Leader-Member relationship | .764              |
| 3    | Employer Brand             | .847              |
| 4    | Job satisfaction           | .730              |
| 5    | Intrinsic rewards          | .801              |
| 6    | Psychological climate      | .784              |
| 7    | Motivation                 | .727              |

Cranach's alpha for all dimensions is more than .70 hence the data is reliable for further analysis

H1: There is a significant relation between Employee Engagement and Job satisfaction

|                                                        | Employee Engagement | Job satisfaction |
|--------------------------------------------------------|---------------------|------------------|
| Employee Engagement Pearson Correlation Sig.(2-tailed) | 1<br>.632<br>.000   | .632<br>.000     |
| Job satisfaction Pearson Correlation Sig.(2-tailed)    | .632<br>.000        | 1                |

Source-Primary data

### **Interpretation**

Sig .value is <.05 hence rejected null hypotheses and accepted alternative hypotheses. Concluded that there is a positive relation between Employee Engagement and Job satisfaction i.e. More the Job satisfaction High will be the Employee Engagement.

H2: There is a significant relation between Employee Engagement and Intrinsic rewards

|                                                        | Employee Engagement | Intrinsic rewards |
|--------------------------------------------------------|---------------------|-------------------|
| Employee Engagement Pearson Correlation Sig.(2-tailed) | 1<br>.572<br>.000   | .572<br>.000      |
| Intrinsic rewards Pearson Correlation Sig.(2-tailed)   | .572<br>.000        | 1                 |

Source-Primary data

### **Interpretation**

Sig .value is <.05 hence rejected null hypotheses and accepted alternative hypotheses. Concluded that there is a positive relation between Employee Engagement and intrinsic rewards i.e. More the Intrinsic rewards high will be the Employee Engagement.

H3: There is a significant relation between Employee Engagement and Psychological climate

|                                                          | Employee Engagement | Psychological climate |
|----------------------------------------------------------|---------------------|-----------------------|
| Employee Engagement Pearson Correlation Sig.(2-tailed)   | 1                   | .510<br>.000          |
| Psychological climate Pearson Correlation Sig.(2-tailed) | .510<br>.000        | 1                     |

Source-Primary data

### **Interpretation:**

Sig .value is <.05 hence rejected null hypotheses and accepted alternative hypotheses. Concluded that there is a positive relation between Employee Engagement and Psychological climate i.e. More the Positive Psychological climate high will be the Employee Engagement

H4: There is a significant relation between Employee Engagement and Motivation

|                                                        | Employee Engagement | Motivation   |
|--------------------------------------------------------|---------------------|--------------|
| Employee Engagement Pearson Correlation Sig.(2-tailed) | 1                   | .532<br>.000 |
| Motivation Pearson Correlation Sig.(2-tailed)          | .532<br>.000        | 1            |

Source-Primary data

### **Interpretation:**

Sig .value is <.05 hence rejected null hypotheses and accepted alternative hypotheses. Concluded that there is a positive relation between Employee Engagement and Motivation i.e. More the Motivation high will be the Employee Engagement

H5: There is a significant relation between Employee Engagement and Leader-Member relationship

|                                                        | Employee Engagement | Leader-Member relationship |
|--------------------------------------------------------|---------------------|----------------------------|
| Employee Engagement Pearson Correlation Sig.(2-tailed) | 1                   | .542<br>.000               |
| Leader-Member relationship Correlation Sig.(2-tailed)  | .542<br>.000        | 1                          |

Source-Primary data

### **Interpretation:**

Sig .value is <.05 hence rejected null hypotheses and accepted alternative hypotheses. Concluded that there is a positive relation between Employee Engagement and Leader-Member relationship i.e. good the Leader-Member relationship high will be the Employee Engagement

H6: There is a significant relation between Employee Engagement and Employer Brand

|                                                        | Employee Engagement | Employer Brand |
|--------------------------------------------------------|---------------------|----------------|
| Employee Engagement Pearson Correlation Sig.(2-tailed) | 1<br>.000           | .476<br>.000   |
| Employer Brand Correlation Sig.(2-tailed)              | .476<br>.000        | 1              |

Source-Primary data

### **Interpretation:**

Sig .value is <.05 hence rejected null hypotheses and accepted alternative hypotheses. Concluded that there is a positive relation between Employee Engagement and Employer Brand i.e. good the Employer Brand high will be the Employee Engagement

### **CONCLUSIONS**

Results of research on antecedents of employee engagement stipulated following Conclusions:

There is a positive relation between Employee Engagement and Leader-Member relationship, Employer Brand, Job satisfaction, intrinsic rewards, Psychological climate, and Motivation and Employer brand

### **LIMITATIONS**

1. Sample size was limited to 428 because of limited time which is small to represent the Whole population.
2. The research was limited to IT Industry only.

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#### Conference Papers

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